

TITLE: Vendor Onboarding Standard Operating Procedure

ORGANIZATION: Northwind Analytics, Inc.

DEPARTMENT: Procurement

SENSITIVITY: Internal

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Vendor Onboarding Standard Operating Procedure

This SOP defines the process for onboarding a new vendor or supplier, whether a professional services vendor (IT Services side) or a raw materials / components supplier (Manufacturing side).

1. Vendor Registration

- New vendor completes the Vendor Registration Form, including tax identification, banking details, and (for Manufacturing suppliers) a Certificate of Quality Compliance where applicable to the material category.
- Finance performs a basic financial health and sanctions-list screening before proceeding.

2. Risk Tiering and Due Diligence

Tier	Example	Due Diligence Required
Tier 1 — Critical	Cloud infrastructure, raw material sole-source supplier	Full security/quality audit, business continuity review, annual reassessment
Tier 2 — Important	Staffing agency, secondary component supplier	Standard due diligence questionnaire, biennial reassessment
Tier 3 — Standard	Office supplies, non-critical services	Basic registration only

3. Manufacturing Supplier Qualification

Suppliers of production materials or components additionally undergo a Supplier Quality Engineering (SQE) site assessment and a First Article Inspection (FAI) of sample parts before being approved for production-volume orders.

4. Onboarding Completion

A vendor is marked "Active" in the ERP system only once registration, due diligence, and (where applicable) SQE qualification are all complete. Purchase orders cannot be issued to vendors in "Pending" status.